

HEDGEYE DAILY DIGEST

Thursday, 24 September 2026 (GMT+8)

Hedgeye's most recent publishing day was Wednesday 23 September ET (the evening of 23 September into early 24 September GMT+8), and the message was that **#Quad2** is now showing up in both the bond and currency markets at once: the **UST 2yr** broke to a fresh cycle high, the **US Dollar** is breaking out, and **10s/2s** keeps flattening, with **Financials (XLF) -2.0%** on the day against long **Healthcare (XLV) +0.5%**. Rather than chase a record Nasdaq, McCullough is running **seven shorts against two longs** in Real-Time Alerts, buying **Brent** on the dip, adding **IWM puts**, consumer and airline shorts, and rebuilding hedges after short-dated volatility collapsed from **~20 to 9** in a week. The only new signal change on the Risk Range table: **Natural Gas flipped to Bullish TREND**.

Today's Publications (Wed 23 Sept ET)

EARLY LOOK - "#Quad2 = Dollar Up, Rates Up"

Early Look | Keith McCullough | 23 Sept, 07:25 EDT (19:25 GMT+8)

McCullough builds the note around **Rich Brennan's** *The Fractals of Finance*: markets are adaptive systems shaped by every participant, and structure emerges from repeated flows. His practical point is that investors should stop forcing a linear story onto the tape and let the rate of change of **price, volume and volatility** tell them where to go next. He pairs the idea with a live example of single-stock market impact: **MU** contributed roughly **+6%** of positive SPY impact on the day while **JPM** contributed about **-4%**.

The fundamental feedback loop is textbook **#Quad2**. As growth and inflation surprise to the upside, **Treasury yields** and the **US Dollar** break out. Layer on a Fed turning incrementally hawkish on a lag, and the **UST 2yr** (Hedgeye's "Fed front-runner") rises faster than the long end, the curve flattens, and Financials get hit. That is the chain he uses to explain **XLF -2.0%** versus the Healthcare longs, **XLV +0.5%** and **FXH +1.0%**.

The behavioural loop is short covering. Goldman's US Hedge Fund **"Most Short"** basket rose **+2.3% on Monday** and another **+1.6% on Tuesday**. Ahead of last week's Fed meeting, short-dated US equity calendar volatility had been bid up to **20**; by Tuesday's close it had collapsed to **9** as those hedges were unwound. That is how high-beta exposures squeeze: **Cannabis (MSOS) +7.9%** on the day, with **Bitcoin (IBIT)**, **Ethereum (ETHA)** and **Bitcoin equities (BLOK)** all running vertically alongside bond yields.

He closes with a jab at investors excited about their AI tools and **META** (Hedgeye is bullish on both) who still don't see that **AI is now the largest market participant**, and that its flows create repeatable, fractal structure. The positioning takeaways: **Long MU vs. Short JPM** as a pair, stay long the **#Quad2** breakouts (**MSOS, IBIT, ETHA, BLOK, XLV, FXH**), and respect the flattening curve as the key risk to rate-sensitive sectors.

Risk Range™ Signals - 23 September 2026

Asset	Immediate-Term Range	TREND
10-Year UST Yield (UST10Y)	4.89 - 5.09	Bullish
High Yield (HYG)	78.30 - 79.00	Bearish
Inv. Grade Corp Bonds (LQD)	103.8 - 105.6	Bearish
S&P 500 (SPX)	7536 - 7795	Bullish
NASDAQ Composite (COMPQ)	26359 - 27351	Bullish
Russell 2000 (RUT)	2846 - 2916	Bearish
Health Care (XLV)	165 - 172	Bullish
Tech-Software (IGV)	101 - 110	Bullish
Energy (XLE)	61.17 - 66.00	Bullish
Volatility Index (VIX)	13.75 - 17.70	Bearish
U.S. Dollar Index (USD)	99.79 - 101.25	Bullish
WTI Crude (WTIC)	87.51 - 109.07	Bullish
Natural Gas (NATGAS)	2.80 - 3.09	Bullish
Gold Spot (GOLD)	4249 - 4383	Neutral
Copper Spot (COPPER)	6.35 - 6.80	Bullish
Silver Spot (SILVER)	62 - 67	Bearish

Signal changes vs. 22 Sept: **Natural Gas** flipped from **Bearish** to **Bullish TREND** (range lifted to **2.80-3.09** from 2.74-2.96). All other TREND signals were unchanged. The **Russell 2000** range was corrected and lifted to **2846-2916**, and the **NASDAQ** range moved up to **26359-27351** (from 25901-27305). **WTI's** low end eased to **\$87.51**, right on its trend support.

Investment implication: rates up and the dollar up is the #Quad2 base case. Stay long Healthcare, Software, Energy and the crypto/cannabis high-beta breakouts. Stay short Financials-style rate-sensitives and small caps. Watch the curve, not the index level.

MOMO TRACKER

Momentum Stock Tracker | Christian Drake & Ryan Ricci | 23 Sept, 07:57 EDT (19:57 GMT+8)

Headline read: **Mag7 -0.3%, TSLA flipped to BULLISH, KOSPI back to BULLISH (barely)**, plus divergences and the "Mo Bros feeling it", meaning momentum traders enjoying the high-beta squeeze described in the Early Look. The note itself is charts and tables only, with no written narrative beyond the title. The **KOSPI** flip ties to the Macro Show, where McCullough noted Korea had just reclaimed bullish TRADE and TREND but Hedgeye holds **no position**. The Mag7 pausing (**-0.3%**) while high-beta factors rip is exactly the kind of divergence the Early Look says to respect rather than explain away.

THE MACRO SHOW - SUMMARY NOTES

The Macro Show | Keith McCullough & Ryan Ricci | 23 Sept, 10:36 EDT (22:36 GMT+8)

Positions mentioned. Bullish: Brent Oil (**BNO**), bond volatility (**PFIX**), **Bitcoin**, **Ethereum**, Cannabis (**MSOS**), Energy (**XLE**), Petrobras (**PBR**), Global Ship Lease (**GSL**), Tanker shipping (**BWET**), Software (**IGV**), with Corn (**CORN**) cut to minimum. **Bearish:** Russell 2000 (**IWM**), Utilities (**XLU**), Industrials (**XLI**), Germany (**EWG**), **Switzerland**, Amazon (**AMZN**), JPMorgan (**JPM**), consumer stocks and airlines.

Rates and the dollar. The **2yr yield** broke to a new **#Quad2 cycle high**, which means a higher cost of capital and a still-hawkish Fed while the curve flattens. The dollar is strengthening "by the hour". Rising yields plus a rising dollar is negative for **emerging markets and gold**, and Gold/Silver are confirming bearish **TRADE** signals.

Oil: buy the dip. Hedgeye owns **Brent**, not **WTI**, with Brent's alpha code around **97 / 90** (**TRADE / TREND**). Neither level has broken, so the response is to buy weakness rather than trade on headlines about the Strait of Hormuz. McCullough added Brent on Tuesday and has built energy exposure only after the correction, adding **PBR**, **GSL** and **BWET**.

Rebuilding hedges. With short-dated calendar vol down from **~20 to 9** in a week and the VIX near the low end of its range, he is using the complacency to **add consumer shorts, add airline shorts and buy IWM puts**. **IWM**, **XLU** and **XLI** are the three main US ETF shorts. Real-Time Alerts now show **seven shorts vs. two longs**, and both longs are energy. Named single-stock shorts are **AMZN** and **JPM** (among the weakest S&P names on Tuesday).

Bond vol and crypto. He stays long **PFIX** with bond volatility bullish on **TREND**. A breakdown in currency volatility would signal a trending dollar breakout, which is usually bad for risk assets. **Bitcoin** is the exception, because it is currently **positively correlated with the dollar**.

Commodity divergence. Corn was cut to minimum size as corn and cocoa weakened, while **barley is up 30%+** in a month. **Copper** is back to bullish **TREND**, though he stated no position. **Process takeaway:** build the long book (inflation protection, Brent, bond vol) and the short book (consumer, high yield, Germany, private-equity-type exposure) from the **same macro signal**, and be ready to flip if the signals change.

CAPITAL ALLOCATION PRO - DAILY DASHBOARD

Capital Allocation Pro | Andrew Nanai & David Salem | 23 Sept, 09:23 EDT (21:23 GMT+8)

No new model portfolio changes. The most recent changes still take effect at **17 September 2026** closing prices. Standing housekeeping is unchanged: **Trend and Tail levels** for the **68 ETFs** were refreshed on **28 August** closes, **BNO (Brent)** and **USO (WTI)** were added to coverage in place of **MBB** and **PFF**, the Key Callouts video dates from **10 September**, and the September monthly commentary was posted on **2 September**.

SIGNAL STRENGTH STOCKS - 49 STOCKS (4 ADDED, 4 REMOVED)

Signal Strength Stocks | 23 Sept, 11:58 EDT (23:58 GMT+8)

The list held at **49** names, but the pace of broadening stalled after **14 net additions** over the prior two sessions. **Added:** **ACHC** (Acadia Healthcare), **PI** (Impinj), **SHOP** (Shopify), **CVI** (CVR Energy). **Removed:** **CZR** (Caesars), **LFST** (LifeStance), **LH** (Labcorp), **SJM** (J.M. Smucker). **CVI** extends Tuesday's refiner cluster (PSX, MPC, VLO, DINO). **ACHC** keeps a healthcare foothold as LFST and LH drop off. The **CZR** and **SJM** removals fit the consumer-short tilt McCullough described on the show.

DIGITAL ASSETS - CRYPTO QUANT & L1 WATCH

Bitcoin Trend Tracker 07:23 EDT | Digital Assets 07:12 EDT (23 Sept)

Crypto Quant: **BTC -0.4%** overnight, but US spot ETF inflows reached **+\$2.13B week-to-date** ("inflow-nado"), **net realized profit** of about **\$2.2B**, the headline note "**RIP BitMEX**", and rising AI-finance ("AiFi") activity, with a nod to BlackRock's "machine native economy" framing. The body is charts and data only. **L1 Watch** is the weekly chart book of Layer-1 blockchain KPIs, provided as a download with no written thesis. Both fit the Macro Show's point that Bitcoin can hold up through a dollar breakout while it stays positively correlated with USD.

NOT ACCESSIBLE - U.S. PMI | Weapons-Grade QUAD2

Macro | 23 Sept, 14:42 EDT (24 Sept, 02:42 GMT+8)

This is the only item that falls strictly on today's GMT+8 date, but it sits outside the current subscription (Macro Pro) and could not be read. The title alone, "**Weapons-Grade QUAD2**", suggests the September flash PMIs confirmed accelerating growth, which would support the #Quad2 call on the yields and dollar.

Yesterday's Publications (Tue 22 Sept ET)

EARLY LOOK - "Jail's #Quad2 Squeeze!"

Early Look | Keith McCullough | 22 Sept, 07:26 EDT (19:26 GMT+8)

What: SPY and QQQ flipping back to **Bullish TRADE** forced McCullough to cover all but one Real-Time Alerts short. He framed the "**#MOAB**" (Mother of All Bubbles) as a bubble going back up, not a top.

Why: The squeeze was factor-driven: **Bitcoin-sensitive equities +5.1%**, **High Retail Sentiment +4.9%**, **Hedge Fund Most Short +2.3%**. Beneath the surface, **10s/2s** was crushed to a new cycle low of **+19bps**, while USD and the 2yr made higher highs.

Who: **META +11.4%** (its best day in 17 months, flipped bearish to bullish), **MSFT**, **AAPL**, **GOOGL**, **NVDA**; new buy signals in **Brent (BNO)** and **Energy (XLE)**; **IWM** in a **-6.3%** drawdown; **XLU -10.3%** QTD.

Key numbers: **SPX 7532-7797** (Bullish), **RUT Bearish**, **WTI 90.17-108.16**, **USD 99.68-100.99** (Bullish). September CPI Nowcast at **3.67%** y/y vs. **3.40%** reported.

Takeaway: Trade the squeeze by the rules: own the few large caps that carry Bullish TREND, buy energy on the pullback, stay short rate-sensitives and small caps, and treat the flattening curve as the real warning.

THE MACRO SHOW - SUMMARY NOTES

The Macro Show | 22 Sept, 10:34 EDT (22:34 GMT+8)

What: Long **Oil (WTI, Brent)**, **XLE, USD, PFI, PBR, IGV, AAPL/MSFT/META, BTC/ETH**; gold cut below minimum (AAAU kept). Short **XLU, XLI, IWM** (minimum size), **India, Switzerland, Germany**.

Why: The collapsing curve was called the biggest macro problem since early 2022, and the rising CPI Nowcast argues for a hawkish Fed and higher-for-longer rates.

Who: Daryl Jones issued a Real-Time Alert buy in **PBR**; the semiconductor short was covered on the signal change.

Key numbers: WTI **91 / 87** and Brent **97 / 90** (TRADE / TREND); gold turns bearish TREND below **~4,250**; he flagged short-dated vol at **10-12** as the dangerous zone.

Takeaway: Long the leaders, not the index. #Quad2 is not a mandate to short everything: "If it doesn't have signal, we don't put it on."

ETF PRO PLUS - SEPTEMBER UPDATE (Q3 2026) & 4 NEW CHANGES

ETF Pro Plus | 22 Sept, 10:54 & 10:27 EDT (22:54 / 22:27 GMT+8)

What: Monthly rebuild: **37 positions (17 long / 20 short)**, and the book is **net short for the first time this cycle**. Separately, 4 changes: long **CRAK** and **BWET**, short **XLY** and **HYG**.

Why: The **Quad math still reads #Quad2** (Aug #Quad3, Sep #Quad2, Oct #Quad2; Q1 2027 turns #Quad4), but the **Signal is rotating risk-off** as Discretionary, Tech and now Financials break down. The team rebuilt the book around the Signal.

Who: Longs: **BUX, AAAU, CLOX, CLOZ, FXH, XLV, COLO, IGV, LVHI, MSOS, IBIT, DBMF, CORN, EWZ, XLE, ETHA, PFI**. Shorts: **QAT, LQD, TLT, PBD, XLU, ZROZ, JOJO, JETS, PRN, JOET, XLI, INDA, IWM, EWA, EWL, PSP, SMH, UFO, QTUM, EWG**. IBIT flipped short to long; 24 names were removed.

Key numbers: WTI up about **\$20** since late August in severe backwardation. **Q4 2026 CPI 3.76%** y/y and **Q3 CPI 3.44%**; **Q3 GDP 2.03%**, **Q4 GDP 2.28%**. One Fed hike last week with **three more expected by April 2027**. UST10Y TRR **5.12%**, 2yr TRR **4.84%**.

Takeaway: Worse before better: long energy, hard assets, defensive compounders and a rate hedge (PFI); short duration, rate-sensitives, small caps, semis, momentum and international cyclicals.

ALSO PUBLISHED 22 SEPTEMBER

Various | 22 Sept EDT

- **Signal Strength Stocks** went to 49 stocks (**7 added, 0 removed**): **SHEL, U, ILMN, PSX, MPC, VLO, DINO**, a refiner-heavy cluster (11:18 EDT).
- **MOMO Tracker:** Mag7 **+3.4%**, **GOOGL = BULLISH**, **NVDA = NEUTRAL**, **META +11%**, risk range **+1% / -10%**, Nasdaq at an all-time high (08:08 EDT).
- **Capital Allocation Pro Daily Dashboard** had no new model changes (08:49 EDT).
- **Crypto Quant:** **BTC -1.3%**, price finally above the **ETF cost basis**, ETF flows of **+\$1.14B D/D** (07:07 EDT).
- **Digital Assets Position Monitor:** **RIOT, TRX, BLSH** moved from the Short Bench to the Long Bench (07:04 EDT). The **Weekly Exchange Tracker** was also published (07:00 EDT).

Watch list into the next session: whether the **UST 2yr** extends its cycle-high breakout and **10s/2s** keeps compressing from **~+19bps**; whether **Brent** holds its **~90** TREND level and **WTI** holds **\$87.51**; whether the **VIX** bounces off the **13.75** low end now that hedges have been rebuilt; and whether Natural Gas's new

Bullish TREND holds.